Failure and Opinion Decomposition: Matched Weighted

Warned failure / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	0.020*	0.000	0.016	0.032**
	(0.012)	(0.003)	(0.022)	(0.015)
p	0.0948	0.8781	0.4675	0.0352
Observations	1,763	1,763	1,763	1,763

Warned failure / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	0.019*	0.025	0.018*
	(0.011)	(0.022)	(0.011)
p	0.0758	0.2616	0.0890
Observations	1,763	1,763	1,763

MAO / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.020	-0.020	-0.020	-0.020
	(0.036)	(0.036)	(0.036)	(0.036)
p	0.5701	0.5701	0.5701	0.5701
Observations	1,763	1,763	1,763	1,763

MAO / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.020	-0.020	-0.020
	(0.036)	(0.036)	(0.036)
p	0.5701	0.5701	0.5701
Observations	1,763	1,763	1,763

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.